

EVG1019 - Owen & Chloe Fitzgerald - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Owen P. Fitzgerald (XXX-XX-5582) / Chloe A. Fitzgerald (XXX-XX-7719)
Address	8416 Glenwood Ridge Ct, Raleigh, NC 27612
Filing status	Married filing jointly
Dependents	Harper (daughter, 2016) - CTC; Declan (son, 2019) - CTC
Digital assets question	No
Forms included	1040, Schedules 1, 1-A, 2, 3, 8812, A, B, C, SE; Forms 5695, 6251 (check), 8829, 8959, 8995; NC D-400
Extension	Form 4868 + NC D-410 filed 04/14/2026 (no payment - overpayment expected)
Filing method	E-file federal + NC (Form 8879 signed 09/24/2026); direct deposit First Citizens ****6620

Key figures	Amount
Total income (1040 line 9)	264,726
Adjusted gross income (line 11)	240,012
Deduction (line 12e) - Itemized (Schedule A)	52,252
QBI deduction (line 13a)	14,326
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	173,434
Total tax (line 24)	28,020
Total payments (line 33)	35,800
REFUND (line 35a)	7,780

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	168,000
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	168,000
2a	Tax-exempt interest	0
2b	Taxable interest	382
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	96,344
9	Total income	264,726
10	Adjustments to income from Schedule 1, line 26	24,714
11	Adjusted gross income	240,012
12e	Standard deduction or itemized deductions (Itemized (Schedule A))	52,252
13a	Qualified business income deduction (Form 8995/8995-A)	14,326
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	66,578
15	Taxable income	173,434
16	Tax	27,983
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	27,983
19	Child tax credit / credit for other dependents (Schedule 8812)	4,400
20	Amount from Schedule 3, line 8	9,450
21	Add lines 19 and 20	13,850
22	Subtract line 21 from line 18	14,133
23	Other taxes, including self-employment tax, from Schedule 2, line 21	13,887
24	Total tax	28,020
25a	Federal income tax withheld - Form(s) W-2	21,800
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	21,800
26	2025 estimated tax payments and amount applied from 2024 return	14,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	35,800
34	Amount overpaid	7,780
35a	Refund	7,780
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	First Citizens Bank	382
2	Total interest	382
4	Taxable interest (to Form 1040, line 2b)	382
6	Ordinary dividends (to Form 1040, line 3b)	0
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule 1

Line	Description	Amount
3	Business income or (loss) - Schedule C	96,344
10	Additional income (to Form 1040, line 8)	96,344
15	Deductible part of self-employment tax (Schedule SE)	6,807
16	Self-employed SEP, SIMPLE, and qualified plans	17,907
26	Total adjustments to income (to Form 1040, line 10)	24,714

Schedule A

Line	Description	Amount
1	Medical and dental expenses	0
3	7.5% of AGI	18,001
4	Deductible medical	0
5a	State and local income taxes	11,890
5b	State and local real estate taxes	8,856
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	20,746
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	20,746
7	Total taxes	20,746
8a	Home mortgage interest and points reported on Form 1098	25,506
8e	Add lines 8a through 8c	25,506
10	Total interest	25,506

Line	Description	Amount
11	Gifts by cash or check	6,000
12	Other than by cash or check	0
14	Total gifts to charity	6,000
17	Total itemized deductions	52,252

Form 8995

Line	Description	Amount
Fitzgerald Advisers QP (SS 680; compliance below threshold)	20% x QBI	14,326
limit	20% x (taxable income before QBI 187,760 - net capital gain & qualified dividends 0)	37,552
deduction	Qualified business income deduction	14,326

Schedule 1-A

Line	Description	Amount
Part I	Modified AGI	240,012
Part IV	Qualified passenger vehicle loan interest (VIN KM8KRDDF2SU10XXXX)	0
38	Total additional deductions (to Form 1040, line 13b)	0

Form 6251

Line	Description	Amount
1	Taxable income (Form 1040 line 15)	173,434
2a	Taxes from Schedule A line 7	20,746
4	Alternative minimum taxable income	194,180
5	Exemption	137,000
6	AMTI less exemption	57,180
7-9	Tentative minimum tax	14,867
10	Regular tax (Form 1040 line 16 less Sch 3 line 1 FTC)	27,983
11	Alternative minimum tax	0

Schedule 8812

Line	Description	Amount
4	Number of qualifying children under 17 with SSN	2
6	Number of other dependents	0
8	Tentative credit	4,400
10-11	Phase-out reduction (MAGI 240,012 vs 400,000)	0
12	Credit after phase-out	4,400
14	Nonrefundable CTC/ODC (to Form 1040 line 19)	4,400
27	Additional child tax credit (to Form 1040 line 28)	0

Schedule 3

Line	Description	Amount
5a	Residential clean energy credit (Form 5695)	9,450

Line	Description	Amount
8	Total nonrefundable credits (to Form 1040, line 20)	9,450

Schedule SE

Line	Description	Amount
S	Net earnings 88,974; SS 11,033; Medicare 2,580; half deductible 6,807	13,613

Schedule 2

Line	Description	Amount
4	Self-employment tax (Schedule SE)	13,613
11	Additional Medicare Tax (Form 8959)	274
21	Total other taxes (to Form 1040, line 23)	13,887

Form 8959

Line	Description	Amount
7/13	Additional Medicare Tax (Medicare wages 191,500; SE 88,974; threshold 250,000)	274
24	Additional Medicare Tax withheld by employer(s)	0

Schedule C detail

Schedule C - Fitzgerald Advisory (Chloe A. Fitzgerald, sole proprietor) - management consulting, NAICS 541611	Line	Amount
Gross receipts (3 x 1099-NEC; Carolina HealthSystems CORRECTED \$64,000 used - original \$63,000 superseded)	1	122,500
Advertising - website hosting/domain	8	480
Insurance - professional liability (E&O;)	15	1,850
Legal & professional - bookkeeper	17	1,200
Legal & professional - 1/3 of 2024 tax prep fee paid 04/2025 (\$2,700 x 1/3; Sch C time share)	17	900
Office expense - postage, printing	18	640
Supplies - laptop (de minimis safe harbor election, \$2,100 <= \$2,500)	22	2,100
Travel - airfare, hotels (client sites)	24a	6,850
Meals - \$2,400 x 50%	24b	1,200
Software & subscriptions	27a	2,160
Continuing education / certification (PMP renewal, courses)	27a	895
Cell phone - Chloe's line \$1,440 x 60% business	27a	864
Total expenses before home office	28	19,139
Tentative profit	29	103,361
Business use of home (Form 8829) - NOT simplified \$1,500	30	7,017
Net profit	31	96,344

Schedule C - Fitzgerald Advisory (Chloe A. Fitzgerald, sole proprietor) - management consulting, NAICS 541611	Line	Amount
Method: cash; material participation: Yes; started/acquired in 2025: No	F/G/H	
Payments requiring Form 1099: No (no contractors)	I/J	

Form 8829 detail

Form 8829 - 300 / 3,000 sq ft = 10.00%	Total (indirect)	Business 10%
Line 10/11 Mortgage interest (Form 1098; fully deductible - pre-12/16/2017 debt)	28,340	2,834
Line 11 Real estate taxes	9,840	984
Line 18 Insurance	2,460	246
Line 20 Repairs and maintenance (HVAC)	780	78
Line 21 Utilities	5,160	516
Line 42 Depreciation: basis 920,000 x 10% = 92,000; 39-yr SL x 2.564% (in use since 03/2019)		2,359
Line 36 Allowable (gross-income limit not reached)		7,017
Simplified method alternative: 300 sq ft x \$5		1,500
Line 16 excess mortgage interest		None - debt grandfathered under \$1,000,000
Prior depreciation 2019-2024: 13,665; accumulated after 2025: 16,024 (IRC 1250 recapture on sale)		

Mortgage interest - \$1M grandfathered limit

Mortgage interest limitation (manual override of Axxess default)	Amount
Acquisition debt incurred 08/19/2016 (before 12/16/2017) -> \$1,000,000 limit (IRC 163(h)(3)(F)(iii))	960,000
Average balance 2025 (interest-only; no principal activity)	872,000
Interest paid (Form 1098 box 1)	28,340
Less home office share on Form 8829 (10%)	(2,834)
Schedule A line 8a - 100% of personal share (balance < \$1M)	25,506
Axxess default at \$750,000 (86.01% of interest) - WRONG	21,938
Understatement avoided	3,568

Schedule A - SALT election

SALT - income tax vs sales tax (Schedule A line 5a)	Amount
NC withholding (W-2 box 17)	7,350
NC estimates paid in 2025 for 2025 (04/15, 06/16, 09/15)	3,000
NC 2024 Q4 estimate paid 01/15/2025	900
NC 2024 balance due paid 04/15/2025	640
(NC 2025 Q4 paid 01/15/2026 - deductible in 2026, not 2025)	
State income taxes paid in 2025	11,890

SALT - income tax vs sales tax (Schedule A line 5a)	Amount
General sales tax: IRS table/calculator \$2,640 + NC Highway Use Tax on Ioniq 5 \$1,560 (rate <= general rate)	4,200
Elected: income taxes (larger); real estate tax 90% after 8829 share	8,856
Total SALT 20,746 < \$40,000 cap (MAGI < \$500,000)	

SEP-IRA computation

SEP-IRA maximum (self-employed rate 20%)	Amount
Schedule C net profit	96,344
Less deductible half of SE tax	(6,807)
Net earnings for plan	89,537
x 20% = maximum SEP contribution (funded 09/18/2026, before extended due date)	17,907

Energy / vehicle items

Credits / vehicle	Amount
Form 5695 Part I - solar PV \$31,500 x 30% (expenditure 07/2025; residence; office use 10% <= 20% -> no reduction)	9,450
Form 5695 line 14 limitation - tax after other credits	Credit fully used (no carryforward)
Form 8936 clean vehicle credit - Ioniq 5 acquired 10/15/2025 (after 09/30/2025 termination)	0
Schedule 1-A Part IV car-loan interest \$438.12 - MAGI 240,012 exceeds \$200,000 by enough to phase out fully	0

De minimis safe harbor election (Reg. 1.263(a)-1(f))

Chloe A. Fitzgerald, SSN XXX-XX-7719, Fitzgerald Advisory: the taxpayer is making the de minimis safe harbor election under Treas. Reg. 1.263(a)-1(f) for the tax year beginning 01/01/2025.

State / Local Returns

North Carolina Form D-400 (full-year residents, MFJ) - 2025

Line	Description	Amount
6	Federal adjusted gross income	240,012
7-10	NC additions / deductions	0
10b	Child deduction (MFJ, AGI > \$140,000)	0
11	NC itemized: mortgage interest + property tax 34,362 capped at 20,000 + charity 6,000 = 26,000 vs NC standard 25,500	26,000
14	North Carolina taxable income	214,012
15	NC income tax (4.25%)	9,096
16	Tax credits (NC has no residential solar/energy credit)	0
20a	NC tax withheld (Owen W-2)	7,350
21a	2025 NC estimated payments (incl. 01/15/2026)	4,000
26/34	Refund	2,254

NC-3/D-410 extension filed 04/14/2026. Consider NC-40 for 2026 - reduce Chloe's NC estimates (overpaid).